



Time: 6 minutes

Outcome: Trace fiscal and financial shocks through saving, NCO, FX, NX, and AD.

Difficulty: ●●● Advanced

Open-Economy Policy and Macroeconomic Transmission



THE CORE IDEA

Use one chain at a time. In this model, a larger budget deficit reduces national saving and raises the real interest rate. Domestic assets become more attractive, so net capital outflow (NCO) falls. Fewer dollars are supplied for foreign assets, the dollar appreciates, and net exports fall. The FX graph holds price levels fixed and uses vertical dollar supply determined by NCO, unlike the basic gross-flow graph on MACRO-56.



HOW TO RECOGNIZE IT

- Less national saving can raise the real interest rate.
- A higher domestic real rate lowers NCO.
- Lower NCO shifts vertical dollar supply left.
- Dollar appreciation reduces net exports, holding price levels fixed.



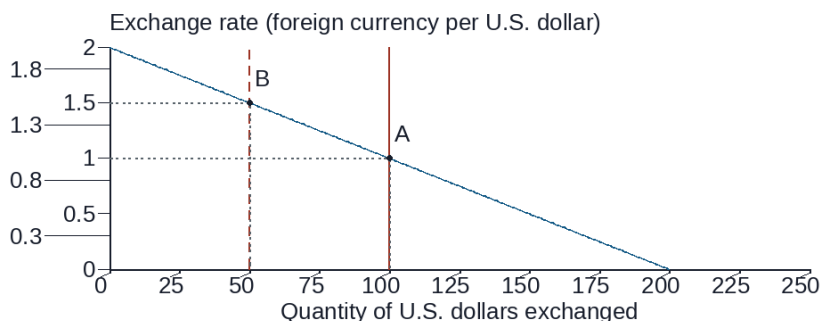
WATCH OUT

Do not claim a fixed quantitative offset or that every fiscal expansion changes output by the same amount. The model identifies directions; magnitudes depend on responses across markets.



WORKED EXAMPLE: FROM A DEFICIT TO NET EXPORTS

— $D0 = NX0$ — $S0 = NCO0$ - - $S1 = NCO1$



Suppose a deficit raises the real rate and lowers NCO. In the graph, dollar supply falls from $NCO0 = 100$ to $NCO1 = 50$. Equilibrium moves from A to B, and the exchange rate rises from 1.0 to 1.5 foreign units per dollar. Dollar appreciation reduces NX; higher rates also crowd out some investment.



CHECK YOURSELF

Capital flight raises NCO. Trace the likely directions of dollar supply, the dollar's value, and NX.

**READY?**

Return to the game and master this concept.